

Entrepreneurship Terms & Frameworks Quick Reference

GLUE Framework

Purpose: Building sticky customer relationships

- **Give:** Provide unexpected value, exceed expectations, surprise and delight customers
- **Listen:** Actively gather feedback, monitor social media, conduct surveys, respond to complaints
- **Understand:** Develop empathy maps, create customer personas, analyze behavior patterns
- **Engage:** Create communities, host events, maintain regular communication, build emotional connections

Application: Use for customer retention strategy, reducing churn, increasing lifetime value

SCAMPER Innovation Technique

Purpose: Systematic creativity for product/service innovation

- **Substitute:** What can be substituted? Materials, processes, people, places, approaches
- **Combine:** What can be merged? Functions, ideas, purposes, units
- **Adapt:** What can be adapted from elsewhere? What similar problems exist?
- **Modify/Magnify:** What can be emphasized, enlarged, extended, exaggerated?
- **Put to other uses:** How else can this be used? New ways, different contexts
- **Eliminate:** What can be removed, simplified, reduced, minimized?
- **Reverse/Rearrange:** What can be reordered, reversed, turned upside down?

Example: Smartphone innovation using SCAMPER:

- **Substitute:** Replace physical buttons with touch screen
- **Combine:** Merge phone + camera + computer
- **Adapt:** Use desktop operating systems for mobile
- **Modify:** Enlarge screen, extend battery life
- **Put to other uses:** Use as payment device, health monitor
- **Eliminate:** Remove physical keyboard
- **Reverse:** Make screen foldable instead of rigid

TRIZ (Theory of Inventive Problem Solving)

Purpose: Systematic approach to innovation and contradiction resolution

Key Components:

- **39 Engineering Parameters:** Weight, speed, strength, accuracy, reliability, etc.
- **40 Inventive Principles:** Universal solutions to technical problems
- **Contradiction Matrix:** Maps problems to solution principles
- **76 Standard Solutions:** Proven patterns for problem-solving

Selected 10 Most Common TRIZ Principles:

1. **Segmentation:** Divide object into independent parts
2. **Taking Out:** Remove disturbing elements
3. **Local Quality:** Change from uniform to non-uniform structure
4. **Asymmetry:** Replace symmetrical with asymmetrical shapes
5. **Merging:** Combine similar objects or operations
6. **Universality:** Make object perform multiple functions
7. **Nesting:** Place objects inside each other
8. **Counterweight:** Balance weight with opposing force
9. **Prior Counteraction:** Perform opposing action in advance
10. **Prior Action:** Perform required changes beforehand

Process: Problem → Contradictions → Matrix → Principles → Solutions

Blue Ocean Strategy

Purpose: Create uncontested market space, make competition irrelevant

Core Concept:

- **Red Ocean:** Existing markets, fierce competition, bloody battles for market share
- **Blue Ocean:** New market spaces, competition irrelevant, profitable growth

Four Actions Framework (ERRC Grid):

- **Eliminate:** Which factors industry takes for granted should be eliminated?
- **Reduce:** Which factors should be reduced well below industry standard?
- **Raise:** Which factors should be raised well above industry standard?
- **Create:** Which factors never offered by industry should be created?

Six Paths Framework:

1. Alternative industries
2. Strategic groups within industries
3. Chain of buyers
4. Complementary products/services
5. Functional-emotional orientation
6. Time and trends

Strategy Canvas:

Visual tool plotting:

- Horizontal axis: Key competing factors
- Vertical axis: Offering level
- Lines: Company vs. competitors

Examples:

- Southwest Airlines: Eliminated meals, lounges, seat choices; Created point-to-point travel
- Cirque du Soleil: Eliminated animals, star performers; Created artistic themes, refined atmosphere

Jobs-to-be-Done (JTBD) Framework

Purpose: Understand why customers "hire" products to complete jobs

Core Principle:

People don't want products, they want progress in their lives. They "hire" products to get a job done.

Three Types of Jobs:

1. **Functional Jobs:** Practical tasks (drill holes, transport people)
2. **Emotional Jobs:** Feel certain way (feel secure, be perceived as competent)
3. **Social Jobs:** How others perceive them (status, belonging)

Job Statement Format:

"When I [situation], I want to [motivation], so I can [expected outcome]"

JTBD Customer Research:

- **Switch Interviews:** Why did customers switch to your product?
- **Non-consumption Interviews:** Why don't people use any solution?
- **Jobs-to-be-Done Interviews:** Deep dive into job context

Jobs Canvas:

- **Job Executor:** Person doing the job
- **Job:** Core functional job
- **Consumption Chain:** Steps in getting job done
- **Emotional Jobs:** Feelings sought
- **Social Jobs:** Image considerations

Example:

- Product: Milkshake
- Job: "Keep me full and entertained during my boring morning commute"
- Not about nutrition or taste, about convenience and engagement

Lean Canvas

Purpose: Capture business model on one page, focused on problems/solutions

9 Building Blocks (Modified from Business Model Canvas):

1. **Problem:** Top 1-3 problems worth solving
2. **Solution:** Top 1-3 features addressing problems
3. **Key Metrics:** Key activities you measure
4. **Unique Value Proposition:** Single, clear, compelling message
5. **Unfair Advantage:** Something that can't be easily copied
6. **Channels:** Path to customers
7. **Customer Segments:** Target customers
8. **Cost Structure:** Customer acquisition costs, distribution costs, hosting, staff
9. **Revenue Streams:** Revenue model, lifetime value, revenue, gross margin

Usage: Quick iteration, hypothesis testing, investor pitches

AIDA Marketing Framework

Purpose: Guide customers through buying process

- **Attention:** Get noticed, create awareness
- **Interest:** Generate interest, engage audience
- **Desire:** Create desire, show benefits
- **Action:** Drive action, convert to customers

Digital Application:

- **Attention:** SEO, social media, advertising
- **Interest:** Content marketing, lead magnets
- **Desire:** Case studies, testimonials, demos
- **Action:** Clear CTAs, easy purchase process

TAM-SAM-SOM Framework

Purpose: Size addressable market opportunity

- **TAM (Total Addressable Market):** Total market demand for product/service
- **SAM (Serviceable Addressable Market):** Portion of TAM within reach
- **SOM (Serviceable Obtainable Market):** Portion of SAM realistically capturable

Calculation Methods:

Top-Down: Start with large market, apply filters

Bottom-Up: Build from unit economics and customer base

Value Theory: Estimate based on value provided

Example:

- TAM: \$100B global market for productivity software
- SAM: \$10B market for small business productivity software
- SOM: \$100M realistic capture in 3 years

OKR Framework (Objectives and Key Results)

Purpose: Set and track ambitious goals

Structure:

- **Objectives:** Qualitative, inspirational goals
- **Key Results:** Quantitative, measurable outcomes (2-5 per objective)

Characteristics:

- Aspirational (70% achievement is good)
- Transparent across organization
- Quarterly cycles
- Bottom-up and top-down

Example:

- Objective: "Become the leading CRM for small businesses"
- Key Results:
 - Acquire 10,000 new customers
 - Achieve 95% customer satisfaction
 - Reach \$5M ARR

PMF (Product-Market Fit) Frameworks**Sean Ellis Test:**

Question: "How would you feel if you could no longer use this product?"

- Target: >40% respond "Very disappointed"

PMF Survey Questions:

1. Main benefit from product?
2. Type of people who would benefit most?
3. How to improve product?
4. Likelihood to recommend (NPS)?

PMF Metrics:

- Organic growth rate
- Net Promoter Score (NPS > 50)
- Customer retention (>80% monthly)
- Low customer acquisition cost
- Product usage intensity

Freemium Model Framework

Purpose: Acquire users free, convert to paid

Key Components:

- **Free Tier:** Core functionality, usage limits
- **Premium Tiers:** Advanced features, higher limits
- **Conversion Strategy:** Feature gates, usage limits, support tiers

Success Factors:

- Low marginal costs
- Network effects
- Clear upgrade path
- Sufficient free value
- Compelling premium features

Metrics:

- Freemium conversion rate (2-5% typical)
- Time to conversion
- Lifetime value of paid users
- Cost to serve free users

RICE Prioritization Framework

Purpose: Prioritize features/initiatives objectively

Components:

- **Reach:** How many people impacted?
- **Impact:** How much impact per person? (3=massive, 2=high, 1=medium, 0.5=low, 0.25=minimal)
- **Confidence:** How confident in estimates? (100%=high, 80%=medium, 50%=low)
- **Effort:** Person-months required?

Calculation:

RICE Score = (Reach × Impact × Confidence) ÷ Effort

Example:

- Feature A: $(1000 \times 2 \times 80\%) \div 2 = 800$
- Feature B: $(500 \times 3 \times 100\%) \div 1 = 1500$

- Priority: Feature B (higher score)

HEART Framework (Google)

Purpose: Measure user experience quality

- **Happiness:** Satisfaction, perceived ease of use, NPS
- **Engagement:** Frequency, intensity, depth of interaction
- **Adoption:** New users completing key actions
- **Retention:** Rate at which existing users return
- **Task Success:** Efficiency, effectiveness, error rate

Implementation:

1. Choose 1-2 HEART categories per product
2. Define specific metrics for each
3. Set targets and track over time
4. Use for product decisions

North Star Framework

Purpose: Align organization around single key metric

Components:

- **North Star Metric:** Single most important metric
- **Input Metrics:** Leading indicators driving North Star
- **Work Streams:** Key areas of focus

Characteristics:

- Measures customer value
- Reflects business strategy
- Actionable by team
- Updates regularly but not frequently

Examples:

- Airbnb: Nights booked
- Spotify: Monthly active users
- LinkedIn: Weekly active users

Pirate Metrics (AARRR)

Purpose: Track startup growth funnel

- **Acquisition:** Users find you (traffic, signups)
- **Activation:** Users have great first experience (onboarding completion)
- **Retention:** Users come back (daily/monthly active users)
- **Referral:** Users refer others (viral coefficient, NPS)
- **Revenue:** Users pay money (conversion, LTV, ARPU)

Focus by Stage:

- Early stage: Focus on Activation and Retention
- Growth stage: Focus on Acquisition and Referral
- Mature stage: Focus on Revenue optimization

SWOT Analysis Framework

Purpose: Assess strategic position

Internal Factors:

- **Strengths:** Advantages, unique capabilities
- **Weaknesses:** Disadvantages, areas for improvement

External Factors:

- **Opportunities:** External factors company could exploit
- **Threats:** External factors that could cause problems

Strategy Formation:

- **SO:** Use strengths to take advantage of opportunities
- **WO:** Overcome weaknesses to take advantage of opportunities
- **ST:** Use strengths to avoid threats
- **WT:** Minimize weaknesses and avoid threats

Kano Model

Purpose: Categorize customer needs and product features

Feature Types:

- **Basic (Must-Have):** Expected features, dissatisfaction if missing
- **Performance (One-Dimensional):** More is better, linear satisfaction
- **Excitement (Delighters):** Unexpected features, high satisfaction
- **Indifferent:** Features customers don't care about
- **Reverse:** Features that cause dissatisfaction

Implementation:

1. Survey customers with functional/dysfunctional questions
2. Categorize each feature using Kano questionnaire
3. Prioritize development: Basic → Performance → Excitement
4. Focus innovation efforts on Excitement features

Example:

- Basic: Car must start reliably
- Performance: Better fuel economy
- Excitement: Autonomous driving features

This comprehensive reference guide covers the most essential frameworks and terms used in entrepreneurship, providing quick definitions, implementation guidance, and practical examples for exam preparation and real-world application.